3.2 Monopolies and Anti-Competitive Markets

Video: Monopolies and Anti-Competitive Markets (Crash Course Economics)

What Is a Monopoly?

In the 1800s, monopolists like Carnegie, Morgan, and Rockefeller dominated oil, railroads, banking, and steel. Market economists love _____, and monopolies are the opposite of it.

A _____ is a market controlled by one seller with a good or service that has no close _____.

A monopoly's true power comes from keeping competitors out with obstacles called _____.

Gourmet food trucks had low barriers, so many competitors jumped in. But a business that gets the government to ban its competitors is practicing _____.

Monopoly Power and Barriers to Entry

A company doesn't need 100% of the market to act like a monopoly. When a few firms have a large majority of market share, it is called an _____ (example: Android and iOS).

Government regulation (like a ban on food carts)
_____ (DeBeers once controlled the world's diamond mines)
High _____ (like building a nuclear power plant)

Anti-Trust Laws and Integration

Monopolies can restrict output and charge higher prices. Most economists support _____ that promote competition and outlaw anti-competitive tactics.

In 1890, the U.S. passed the _____, which outlaws any monopolization or attempted monopolization.

Type	Meaning	Example
	Buying companies that produce similar products	AT&T; tried to buy T-Mobile
	A company owns or controls its _____	Ford in the 1920s owned mines and made its own steel, glass, and tires

Anti-trust rules also stop anti-competitive deals with suppliers, as in the Microsoft web browser case of the late 1990s.

Patents

A _____ grants an inventor the exclusive right to profit from a specific product or process. Patents encourage _____, like new medicines.

A patent expires after about 20 years, which lowers the barriers to entry. Competition moves in and prices fall.

Natural Monopolies

_____ are situations where it is more cost effective to have one large producer, such as public utilities (electricity, water, natural gas, sewage).

One electric company is cheaper than three because of _____, but the government often regulates its prices and fees.

In 1974, the Department of Justice sued AT&T;, leading to the largest corporate breakup in American history. Opening a market to new competitors like this is called _____.

Price Discrimination

_____ is charging different consumers different prices for exactly the same product.

A business must separate the market based on consumers' _____. Airlines charge students who book early less than businesspeople who book late. Age and occupation discounts are other examples.

Think About It

Think of a product or service where you have only one or two choices (internet, a phone app, a utility). How does the lack of competition affect you? _____